

Cloud Is a Competitiveness Question: Build Utilities, Not Stacks

Note for the attention of the Eurogroup

The Stakes. European governments are debating their position on digital sovereignty. There is a real possibility that new demands will be placed on treasuries already squeezed by high energy costs, the war in Ukraine and ageing populations. The debate is framed as one over sovereignty, but the stakes are as much about competitiveness and growth. The cloud choices made today will either free Europe's productivity or quietly tax it for decades.

Relying exclusively on US hyperscalers — whose data is accessible to US authorities under the CLOUD Act — cedes control of critical infrastructure to a partner whose reliability can no longer be assumed. Conversely, spending billions on national cloud options carries significant political, financial and operational risks. And the bill for getting it wrong will land on public finances.

The Sovereignty Dilemma. One danger is misdefining sovereignty. As Mike Bracken and I [argued](#), “sovereignty comes from having agency over policy decisions, not through ownership of every level of technology architecture.” Europe needs digital infrastructure it can trust. Ownership is one expensive way to secure that trust; the freedom to switch — to a range of trusted providers — is another. What looks like a geopolitical conversation is also a productivity and competitiveness conversation. The freedom to switch does double duty: for governments it means leverage and a lower bill; across the economy it means lower input costs as providers compete. Agency, competitiveness and productivity turn out to need the same thing: interoperability.

Lessons from Past Infrastructure Crises. In the nineteenth century, economies faced similar challenges from railway networks built to different track gauges. Companies offered similar services, but goods had to be unloaded and reloaded when shifting between providers. Today's cloud market is the same: Amazon, Microsoft and Google sell much the same service — storage, compute, platform services — but on incompatible gauges. That friction of switching is a tax on every business and government that uses the cloud — which means the whole economy. If new national cloud champions create yet another gauge, it will compound the problem.

The real prize: a liquid market. Whether to build a domestic cloud option is a question each country will answer differently, but it is secondary. If agency is the goal, market liquidity is the means. A liquid market is where assets move and re-trade easily, and no single actor sets the terms of exchange. The cloud market is the opposite: switching costs are high, and that compounds the sovereignty problem. In his report, Draghi rightly frames dependency as insurance — a premium you pay, by not always buying from the cheapest supplier, in return for resilience. A liquid market for cloud may not ensure domestic providers are the cheapest, but it brings market discipline and prevents rent extraction for the privilege of sovereignty. It is the cheapest insurance of all.

The lever. The path to a liquid cloud market is public purchasing power. Three US firms hold 65% of Europe's cloud market. European providers share 16%, the largest barely 2%. This cannot be grown by convincing European companies, or the world, to switch to a new “gauge.” Draghi diagnoses the lock-in but stops short of the cure; building European capacity adds alternatives but does not lower the switching costs. So add it: public funding, whether for domestic champions or US hyperscalers, should be conditional on making the market liquid — turning cloud into a true utility. This is the best path to improved competitiveness and growing European cloud alternatives.

Cloud storage has a de facto standard, a common railway “gauge” that is an ideal starting point. Require it in public contracts and you immediately create real freedom to switch, at almost no cost. Competition at the base unlocks competition in every layer above, where the value, the jobs and the AI opportunity sit.

Do it together. No single government can move this market; a coalition can. If governments align around common interoperability and portability terms, anchored on de facto standards the market already uses, they create demand no provider can ignore.

Conclusion. On digital sovereignty, governments should focus on agency and competitiveness, with liquidity as the means. As a key stakeholder, treasuries need an informed position that balances competing interests. Make interoperability the binding condition of every public euro spent on cloud, and start with storage. This approach leaves room for many national strategies while increasing optionality — not only for European governments and businesses, but for the world.